



Offering Products or Services

Most businesses typically sell either products or services to their customers. When starting up your business, deciding what you will offer is essential, and there are many factors to consider.

Considering the options

An important consideration when deciding between creating a product- or service-based business is the time and costs involved—and how soon it will generate income. With a product-based business, it takes time to source or create then test the goods being sold. The goods then need to sell in sufficient numbers to cover their cost before

any profit is made, which may also take time. When the goods are sold, however, they are usually paid for immediately by the customer.

In contrast, services can be offered immediately and with minimal setup costs, if it is you providing them yourself. However, if you require training or need specific equipment, this will take time and money. Also, customers

typically expect to be invoiced for certain services, which can mean waiting several weeks to be paid.

Some businesses offer products and services. A motor mechanic, for example, might repair and sell cars, enjoying the benefits of both types of businesses. However, when starting out for the first time, it is advisable to concentrate on one type first before trying the other.

Selling products

- › **Customers can see** what they are buying, helping them decide to make a purchase or not.
- › **Stock needs** to be replenished, which is an ongoing cost. It may also be perishable so will mean a direct loss to the business if it is not sold.
- › **Products need** to be stored, which means having access to suitable storage facilities, which may be costly.

Selling products and services

In addition to the differing amounts of time and money required to set up a business selling products or services, you should also consider longer term factors.

